unchanged at Rs 73.2 to a dollar. If we allow 3 per cent annual depreciation of the rupee, the annual rate of growth required would get raised to about 20 per cent per annum. This is an impossible task and ask.

With a recovery growth rate of 9.2 per cent and high producer price inflation of 8 per cent in financial year 2021–22, India could achieve a nominal growth rate of 17.5 per cent. India's nominal GDP for FY 2021–22 has been estimated at Rs 232 lakh crore. Assuming the dollar–rupee foreign exchange rate settles at about Rs 75 to a dollar on 31 March 2022, India's dollar GDP for the financial year 2021–22 would come to about $3.09 trillion. In dollar terms, India's growth over 2018–19 would amount to about 4 per cent per annum. Given the weakened reform agenda and expected winding down of global stimulus, from 2022–23 onwards, at the current level of investment, inflation target and reforms, India might grow at a nominal rate of about 12 per cent per annum at best. If the average annual growth rate in nominal terms works out to be about 12 per cent per annum for three years, India's GDP will be only $4.34 trillion by 2024–25 with no depreciation of the rupee in dollar terms. And if growth slows down to 10 per cent per annum in nominal terms, even with no rupee depreciation, India will reach a GDP of only about $4.11 trillion by 2024–25. In one situation only, not a desirable one, when India witnesses high inflation leading to nominal growth of about 17 per cent with the rupee's dollar value not seeing any depreciation (unlikely to happen despite record foreign exchange reserves) can India still achieve the goal of $5 trillion by 2024–25.

The goal of a $5 trillion economy by 2024–25 is beyond India's reach.

The goal of achieving a $5 trillion economy from the level of $3.09 trillion requires five years of growth of 10 per cent per annum (without any depreciation of the exchange rate) or nominal GDP growth rate of 13 per cent with 3 per cent depreciation. With COVID-19 disruptions expected to diminish materially, global growth returning to more normal levels and